

3-3 Adjusting Entries for Deferrals

The unadjusted trial balance for **NetSolutions** in **Exhibit 3** indicates Unearned Rent of \$360. In addition, **Exhibit 3** indicates that NetSolutions has prepaid assets consisting of Supplies of \$2,000 and Prepaid Insurance of \$2,400. Each of these deferrals requires an adjusting entry.

Objective 3 - Journalize adjusting entries for deferrals.